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1. *Duty to Share Information in the Collective Bargaining Context*
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Duty to Share Information in the Collective Bargaining Context

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Maintained

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This practice note discusses the duty to bargain in good faith. This duty encompasses a duty to provide relevant information when requested by the other party in a bargaining relationship.

This practice note addresses how to comply with this duty and discusses the following topics:

- *Responding to a union's information requests*
- *Determining relevance*
- *Union requests for the employer's financial information*
- *Disclosure of confidential information*
- *Consequences of failing to comply with the duty to share information*

The duty to provide information aims to encourage meaningful negotiations between the parties. As a result, a party generally must share requested information that relates to the parties' negotiations for a collective bargaining agreement and the administration of the agreement. For example, a union has a right to information that might help it determine if the employer has violated the collective bargaining agreement.

Although both parties to the negotiations have a duty to furnish relevant information on request, a union seldom has much, if any, relevant information and an employer only infrequently will make information requests to the union. For a checklist on an employer's duty to provide information to the union, see *Employer's Duty to Provide Information under the National Labor Relations Act Checklist*.

Responding to a Union's Information Requests

When advising employers about how to respond to a union's information requests, keep these rules in mind:

- An employer must respond within a reasonable time period.
- An employer does not have to provide the requested information in the particular form requested by the union.
- If the information requested by a union does not exist, the employer does not have to create it but must advise the union when requested that the requested information does not exist.
- The employer generally does not have a duty to interpret data or information. (But a failure to do so might be a factor in considering an employer's overall good faith in the bargaining.)
- The employer does not have to pay for retrieval, compilation, or copying costs.

Determining Relevance

The duty to share information applies only to relevant information.

- **Presumptively relevant.** Information directly related to bargaining unit employees is generally presumed relevant. This generally means the employer must provide the information unless it can establish that the information is not relevant to the union's role as bargaining agent. Information presumed to be relevant includes, but is not limited to, requests related to the bargaining unit such as: payroll records; productivity and time study information; names, addresses, and telephone numbers; seniority information; shift schedules; hours of work; employer policies and work rules; and pension and insurance plan information.
- **Non-presumptively relevant information.** If the requested information does not relate to bargaining unit employees, an employer may ask the union for an explanation as to why the information is relevant. Examples of such information include information about management employees or other non-unit employees and information about the employer's business. Almost any articulated reason showing that the requested information relates to the union's bargaining responsibility and/or the administration of a collective bargaining agreement is sufficient. A union typically does this simply by letter or email, but you should be aware that sometimes unions send out requests without great thought and the information might not be important to the union by the time the employer's request for an explanation of relevance is made. Thus, the burden of searching for and copying information is sometimes avoided by making the relevance request and the union failing to respond.

Union Requests for the Employer's Financial Information

Unions often request the employer's financial data during negotiations. Historically, the Board has decided that an employer need not provide its financial data unless that information relates to its bargaining position. For example, if the employer responds to the union's proposal by asserting that it cannot pay for the union's demands, then it must provide access to its financials. See *Coupled Products, LLC, 359 NLRB No. 152 (2013)*.

An employer does not have to open its financial books to the union if it does not claim an inability to pay but simply asserts that it “does not want to pay” for the union's demands or that agreeing to the union's proposals would put it at a competitive disadvantage. An employer that seeks concessions from the union on inability-to-pay grounds, however, likely will have to share its financial information upon the union's request.

Disclosure of Confidential Information

An employer may have concerns about maintaining the confidentiality of any information it discloses. If the employer claims that the relevant information requested by the union is confidential, it should bargain with the union to devise a way to accommodate the union's request. In the event of an impasse in these negotiations, the parties' obligations are unclear under the law.

When confronted by cases involving an employer's refusal to provide relevant information on confidentiality grounds, the National Labor Relations Board (Board or NLRB) applies a balancing test. See *Pennsylvania Power & Light Co., 301 NLRB 1104 (1991)*. It weighs the union's reason for the request against the employer's need to preserve confidentiality. The Board may uphold an employer's reasonable conditions governing the union's access to financial records, such as a confidentiality or non-disclosure agreement or allowing review only on company property. It may also uphold these conditions when an employer's response to an information request necessitates the revelation of trade secrets or other classified information.

The NLRB has held that a party cannot make a blanket refusal to provide witness statements on the grounds that such information is protected. See *Piedmont Gardens, 362 NLRB No. 139 (2015)*, enf'd, *858 F.3d 612 (D.C. Cir. 2017)*. To date, the Board generally has respected the attorney-client privilege and the attorney work product doctrine when counsel has asserted either privilege in appropriate circumstances. Thus, you may want to be involved in investigations at the earliest stages to bring witness statements and other investigation activity within the scope of the attorney-client privilege and work product doctrine.

Consequences of Failing to Comply with the Duty to Share Information

A party's failure to provide relevant information in response to an appropriate information request or to respond at all may result in significant consequences including:

- Prevent the parties from reaching a valid impasse, which could affect whether the employer can lawfully implement its final offer
- Provide the basis for an unfair labor practice charge and an adverse finding on that charge –and–
- Transform a union's economic strike into an unfair labor practice strike (The type of strike determines what steps the employer can take in response to a strike, such as whether the employer can hire permanent replacements.)

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